Sunday
# Los Angeles Times

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## Election officials in state receive threat

U.S. says counties must prove certain voters' citizenship or face prosecution.

By Brittny Mejia and Kevin Rector

The U.S. Justice Department expanded its efforts to intervene in California's ongoing election Friday, sending letters to county election offices statewide with demands that they segregate ballots from voters the Trump administration believes are noncitizens.

The letters — which give officials 48 hours to act and threaten them with criminal punishments if they refuse — follow similar correspondence the Justice Department sent this month to California Secretary of State Shirley Weber and Dean Logan, head of the L.A. County registrar's office, calling for some 20,000 ballots statewide be set aside and left uncounted until state and local officials can prove that the voters are citizens.

When Weber and Logan balked, the Justice Department promptly sued them and the state in a case currently pending in federal court.

A hearing is scheduled in federal district court in Los Angeles for Tuesday. However, the Justice Department, claiming the district judge took too long to rule on its emergency request, has also already appealed to the U.S. 9th Circuit Court. California officials have contended the effort is illegal, and asked for the appeal to be dismissed, calling it "as unprecedented as it is meritless" in a filing before the appellate court.

The new letters, first reported by the San Francisco Chronicle, follow previous threats from Justice Department officials and President Trump warning that local California election officials could face criminal prosecution for being "aiders and abettors to a federal crime" if they tabulate votes from the "likely noncitizens" the administration has flagged.

A spokesperson for the U.S. attorney's office in Los Angeles said 57 of California's 58 counties were served the letters, with the exception of Los Angeles, which had already received a notice.

"The letters speak for themselves. Any election official who knowingly processes the ballot of a noncitizen is opening themselves to

[See **Voters,** A8]



Kayla Bartkowski Los Angeles Times




Varda Space Industries

**CHEVRON,** which moved to Houston in 2024, maintains an oil refinery in El Segundo, top. Above, a probe is built at nearby Varda Space Industries.

## How California's economy hopes to keep its dynamism

Even as some sectors grow, the state's rivals gain ground with lower costs, fewer rules

**By Laurence Darmiento**

When Public Storage announced this year it was moving its longtime Glendale headquarters to a Dallas suburb, the self-storage leader said it wanted to benefit from the "depth of talent and innovation in that market."

A year earlier, Realtor.com said the listing site's move from Santa Clara to Texas reflected the state's understanding of the crucial role business plays in "personal growth, professional success and community achievement."

And in 2024, energy giant Chevron, whose roots in California date to the dawn of the oil industry, moved to Houston, where it said it would be best positioned for "long-term growth" and could operate more efficiently.

Three companies in three different industries, but they weren't aberrations.

They were among thousands of firms that have moved to Texas and other states in recent years even as California remains a magnet for AI, aerospace and other tech startups, attracting hundreds of billions of dollars of venture capital.

Gov. Gavin Newsom has trumpeted how tech investments have supercharged the world's fourth-largest economy to grow 5% last year, reaching $4.25 trillion. But there are indications the prosperity is not being spread evenly, with the state suffering a net loss of businesses over the last decade or so.

Among the complaints are the steep costs of doing business, a thicket of regulations in any number of industries and high housing prices that have driven up wages — prompting nearly 230,000 more residents to move to other states than moved into California last year, according to the U.S. Census Bureau.

The challenges have provided fodder for critics of how Democrats have run the state since obtaining a supermajority in the Legislature in 2018, when Newsom was elected. GOP gubernatorial candidate Steve Hilton maintains that California is the "worst-run state" with the "most hostile business climate" in the country.

Economists and other experts don't necessarily agree with that assessment, but said the challenges have left California vulnerable to steep competition from other states, which have begun chipping away at its economic dominance.

[See **Economy,** A12]

## Trump's AI gamble fueling economic fears

World's top financiers raise alarm on a market bubble and U.S.' weakened role.

By Michael Wilner

WASHINGTON — In September, just weeks before Americans were set to vote in this year's midterm elections, a sudden panic over the dangers posed by artificial intelligence caught the White House off guard. A whistleblower had gained viral attention warning the technology could soon pose an existential threat.

President Trump was quick to dismiss concerns, evoking urgency in the U.S. race to achieve global dominance in superintelligence. He rejected calls to negotiate guardrails on the most advanced AI models with China's leader, Xi Jinping, weeks later, during a prime opportunity to do so in Washington.

Privately, the president expressed concern that public hysteria over AI could jolt markets that have become excessively concentrated in AI-related stocks. He had already seen fresh polling that showed widespread bipartisan opposition to the boom in construction of AI data centers, a push by Trump that has cannibalized chips and energy from other sectors of the economy, driving up costs.

Now, on the campaign trail in the final days before the vote, Trump is vowing to expand a "golden age" of prosperity through the end of his presidency. But experts say his policies on AI have set the U.S. economy up for a period of tremendous risk over the next two years.

Some of the world's lead-

[See **Bubble,** A10]

## Growth of health system spurs worry

UCLA Health's fast expansion in recent years raises costs and concerns, critics say.

By Melody Petersen

On television, ads for UCLA Health show up behind the Dodgers' home plate and in the background when Justin Herbert, the Chargers' quarterback, speaks after a game.

At the Lakers' training facility, the health system's logo appears on the court and throughout the building, under a marketing partnership that cost the university tens of millions of dollars.

The ads are part of the public university health system's strategy to increase the number of Southern Californians using its providers at its fast-growing number of clinics and hospitals.

University officials say its expansion to five hospitals and 300 clinics — up from 150 locations a decade ago — has given more Southern Californians access to its academic medicine.

Last year, the system's clinics and hospitals recorded 4.2 million outpatient visits — more than five times the number in 2015.

"As a public institution, we're trying to make sure that patients within our community have access to care," said Dr. Robert Cherry, UCLA Health's chief medical and quality officer. "That's the primary and overriding concern, because there's an acute demand for our services."

Yet healthcare econo-

[See **System,** A10]



Allen J. Schaben Los Angeles Times

**CORINA** Stephens surfs in Huntington Beach near platform Emmy amid federal push for oil exploration.

## Drill, baby, or state loses coastal control?

By Rosanna Xia

In what one environmental law expert described as "a dangerous ultimatum," the Trump administration said it would strip California of its authority to protect its coastline unless state regulators agreed to more than a dozen "corrective actions" that would benefit close allies of the White House, according to the draft findings of a controversial federal review.

Citing "a pattern of jurisdictional and regulatory overreach," the 92-page review said California coastal authorities have demonstrated "unjustified hostility and political bias against offshore drilling opportunities, oil and gas projects broadly, and SpaceX's launch activities."

The document, which The Times obtained through a public records request, said future federal funding for the state's coastal management program has been suspended "unless and until the identified deficiencies are satisfactorily addressed."

At the top of the list of corrective actions are demands that the California Coastal Commission meet with SpaceX and "discuss

[See **Oil,** A8]

101 BEST RESTAURANTS




Our annual dining guide is included in today's newspaper for print subscribers. Read the full list online at **latimes.com/101**.

**No. 9 UCLA runs record to 7-0**
Bruins uses a stifling defense to earn a 28-10 victory over Michigan State. **SPORTS, D1**

**L.A. Opera's new leader checks in**
Domingo Hindoyan begins a bold new era with an eye on outreach. **ENTERTAINMENT, E2**

**Brace for more coastal battering**
Forecasters warn of exceptionally high tides and a new round of flooding. **CALIFORNIA, B1**

**Weather**
Mostly sunny.
L.A. Basin: 82/60. **B8**

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